



MARIO GABELLI

Mario Gabelli, who likens himself to a jet fighter pilot, has built a financial empire that includes an institutional brokerage firm, a mutual fund management company, and a money management business that advises institutions and private investors. Astounding success and personal energy have earned him the moniker "Super Mario." Like Peter Lynch and some other top stock pickers, Gabelli, who grew up in the Bronx, first became interested in the stock market while caddying for executives. After attending Fordham University on a scholarship, he received an MBA from Columbia University, where he was most influenced by a professor who taught security analysis in the spirit of the meticulous and conservative Benjamin Graham.

In 1967, he embarked on his Wall Street career as an auto parts analyst for Loeb Rhoades, then moved on to William D. Witter. In 1977, he founded Gabelli Asset Management. Over the years he has added a couple of twists to Graham's approach to fundamental analysis. One is to introduce the idea of "private market value" into the mix—that is, what a public company would be worth if it were taken private. He likes to back out such expenses as taxes, depreciation, and interest to get truer net income and asset numbers. Another concept he introduced is to look for what Gabelli calls a "catalyst," an event that will boost a company's stock, such as a merger or a change in government regulation.

Gabelli, who reads annual reports the way others read novels, has earned the reputation of being a tireless worker as he has built a firm that manages over \$10 billion in assets. "This is not my job," he says. "This is my passion. Some people collect art or ride horses or play in castles in Ireland. I like to pick stocks." Toward that end, there are plenty of 5 A.M. to 9 P.M. days, and even the occasional Sunday afternoon staff meeting. While hardworking, Gabelli has a lighter side, which is reflected in the name of a fund that focuses on global entertainment and media companies—the Gabelli Global Interactive Couch Potato Fund. As for his investment style, he elaborates on finding "catalysts," among other strategies, in *Grand Slam Hitting*.